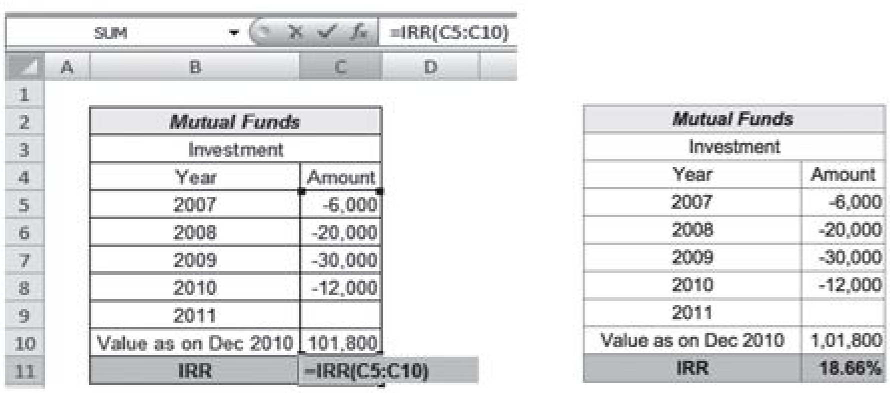
2008	−20,000
2009	−30,000
2010	−12,000
2011	
Value as on Dec 2010	1,01,800

Fig 2.2: *Step 2 for Solution 4*

Step 3

Use the Excel IRR formula in the last row to calculate the annualized compounded Internal Rate of Return (IRR).



SUM =IRR(C5:C10)

	A	B	C	D
1				
2		*Mutual Funds*		
3		Investment		
4		Year	Amount	
5		2007	-6,000	
6		2008	-20,000	
7		2009	-30,000	
8		2010	-12,000	
9		2011		
10		Value as on Dec 2010	101,800	
11		**IRR**	=IRR(C5:C10)	

Mutual Funds	
Investment	
Year	Amount
2007	-6,000
2008	-20,000
2009	-30,000
2010	-12,000
2011	
Value as on Dec 2010	1,01,800
IRR	**18.66%**

Fig 2.3: *Step 3 for Solution 4*

So, the annualized IRR comes out to be 18.66% which is higher than 15% from UTI mutual funds. So, it makes sense to continue to invest in Reliance mutual funds in the coming year rather than moving to UTI mutual funds.

Note that the rate of returns is annualized since each row in the above table represents an annual period for annual inflow or outflow.